

never changed his spots.) He only cares what he (and Charlie Munger) thinks . . . and whether his shareholders make money.

- **He's contrarian and iconoclastic.** Whereas the typical investor thinks he should follow the herd, despite its susceptibility to the errors of emotion, the best investors behave in a contrarian fashion, diverging from the herd at the key moments. But it's not enough to do the opposite of what others are doing. You have to understand what they're doing; understand why it's wrong; know what to do instead; have the nerve to act in a contrary fashion (that is, to adopt and hold what Yale's David Swensen calls "uncomfortably idiosyncratic positions"); and be willing to look terribly wrong until the ship turns and you're proved right. That last element can feel like it's taking forever; as the old saying goes, "Being too far ahead of your time is indistinguishable from being wrong." Take it all together and it's clear that this isn't easy.

It's obvious that Warren is highly capable of contrarian behavior. In fact, he revels in it. He once wrote me that he had seen high yield bonds when the market priced them like flowers and he had seen them when they were considered weeds. "I liked them better when they were weeds." The contrarian prefers to buy things when they're out of favor. Warren does it like no one else.

- **He's counter-cyclical.** Investing consists of dealing with the future, and yet many of the best investors accept that they can't predict what the macro future holds in terms of economic developments, interest rates and market fluctuations. If we can't excel at the thing that most people want to hang their hat on, what can we do? In my view, there are great gains to be had from behaving counter-cyclically.

It's emotionally easy to invest when the economy is improving, companies are reporting higher earnings, asset prices are rising, and risk bearing is being rewarded. But buying appreciated assets doesn't hold the key to superior investment results. Rather, the greatest bargains are accessed by buying when the economy and companies are suffering; that's more likely to be the climate in which asset prices understate their merits. However, this, too, is not easy.